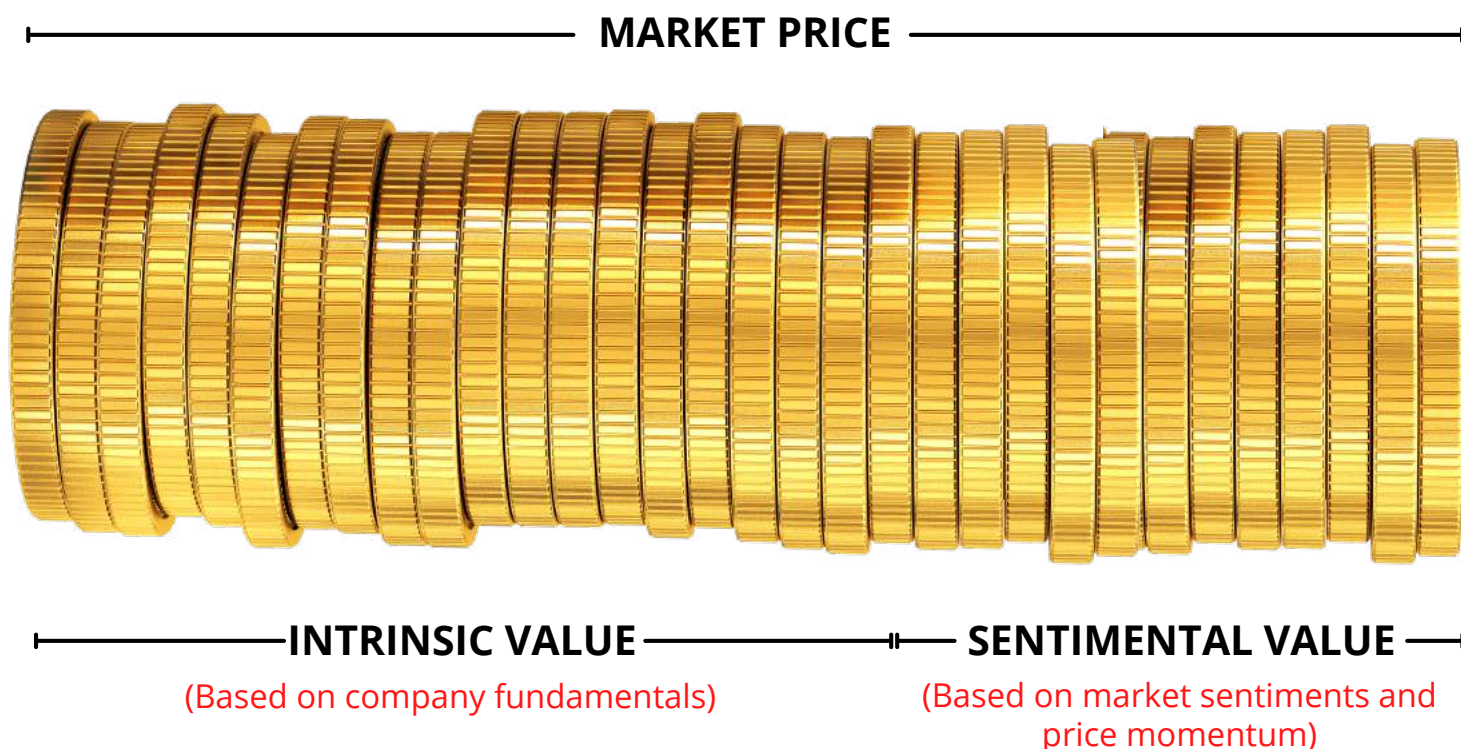


HOW STOCK PRICES MOVE AND HOW A RETURN IS MADE?

We see in equities, there are two factors related to any given share- its value and its market price. For this, let us understand the composition of a share price. The share price is affected by two things. One is the intrinsic value of the share or the true worth of the share price. It is based on the company's performance, its strength, its weaknesses, its pricing power, and other fundamental factors. In a nutshell, it is determined based on company-related factors.

The second component is the market sentiments. It is determined by the speculators in the stock market. It is based on the emotions and perception of the company in the market; what the investors feel irrespective of the company's inherent factors.



When we say that a share is priced at Rs 100, Rs 60 would be its intrinsic value and Rs 40 would be market sentiments. In other cases, market sentiments can also reduce the price. Let us assume another share priced at Rs 110. Now, its intrinsic value may be Rs 150, but because of negative market sentiments i.e. Rs 40 (negative), it is trading at Rs 110. So we see that market 'price' is a combination of intrinsic 'value' and market sentiments.